(Please write your Enrollment Number) Enrollment No. 01601172021

End-Term Examination
(CBCS)(SUBJECTIVE TYPE) (OffLine)
Course Name:<B.tech>, Semester:< 6 >
(May, 2024)

Subject Code: HMC 306	**Subject: Financial Management**
Time :3 Hours	**Maximum Marks :60**

Note:Q. 1 is compulsory. Attempt one question each from the Units I, II, III & IV.

Q1		**(2.5*8=20)**
	(a) What do you mean by financial management?	
	(b) Discuss ordinary shares.	
	(c) What are the limitations of pay back period?	
	(d) Differentiate between temporary working capital and permanent working capital.	
	(e) ABC ltd. expects its cost of goods sold for 2022-2023 to be rs 600 lakh. The expected operating cycle is 90 days. It wants to keep a minimum cash balance of 10,000. What is the expected working capital requirement. Assume a year consists of 360 days.	
	(f) Why is it possible for IRR and NPV method to result in different ranking of investment proposal?	
	(g) What are mutually exclusive investment projects?	
	(h) Write a short note on capital rationing?	
	UNIT-I	
Q2	A) "Traditional financial management was concerned with the raising of funds as well as their optimum utilisation". Do you agree? Explain.	**(10)**
	B) Mr X is supposed to get ₹10,000 after three years. The existing rate of interest is 10%, find the present value of this sum Table values: r=10% , n=3 PVIFA - 2.487 PVIF- 0.751 (7+3)	
Q3	What are the major types of financial management decisions that business firm make? Describe briefly each one of them.	**(10)**
	UNIT-II	
Q4	Explain the different types of cost of capital with examples in brief.	**(10)**
Q5	Write a detailed note on capital structure.	**(10)**
	UNIT-III	

Q6	A Choice is to be made between two proposals which require an equal investment of ₹50,000 each and are expected to generate net cash (CFAT) flows as under: Year Project A Project B 1 25,000 10,000 2 15,000 12,000 3 10,000 18,000 4 nil 25,000 5 12,000 8,000 6 6,000 4,000 The cost of capital of the company is 10%. Which project should be chosen under: a) payback period b) NPV method PVIF @ 10%- 0.909, 0.826, 0.751, 0.683, 0.621, 0.564 PVIFA @ 10%-0.909, 1.736, 2.487, 3.170, 3.791, 4.355	(10)	
Q7	A) A company is considering an investment proposal to install a new machinery. The machinery will cost ₹50,000 with the Life of 5 years and no salvage value. The tax rate of the company is 55% and it uses straight line method of depreciation. The estimated cash flows before tax and depreciation are as follows: **YEAR PBDT** 1 10,000 2 11,000 3 14,000 4 15,000 5 25,000 *Calculate:* *a) Net present value at 10% discount rate* *b) Profitability index at 10% discount rate* *PVIF @ 10%- 0.909, 0.826, 0.751, 0.683, 0.621* PVIFA @ 10%-0.909, 1.736, 2.487, 3.170, 3.791	(10)	
	UNIT-IV		
Q8	ABC Ltd purchases 9000 units of spare parts annually, ordering one month usage at a time. Each spare part cost ₹20. The ordering cost per order is ₹15 and the carrying charges are 15% of unit cost. Do you think , It is a correct policy? If not, suggest a more economical purchase policy for the company. Also find out the total cost of inventory ordering and carrying. (Use mathematical method)	(10)	
Q9	A) The cost per unit of inventory is ₹16. Carrying cost is 15% of average inventory for annum. The ordering cost is 960. The number of unit required is 2000 per year. You Are required to calculate: a) EOQ (using mathematical method) b) Total annual inventory cost at EOQ B) Why do firms hold inventories? (6+4)	(10)	